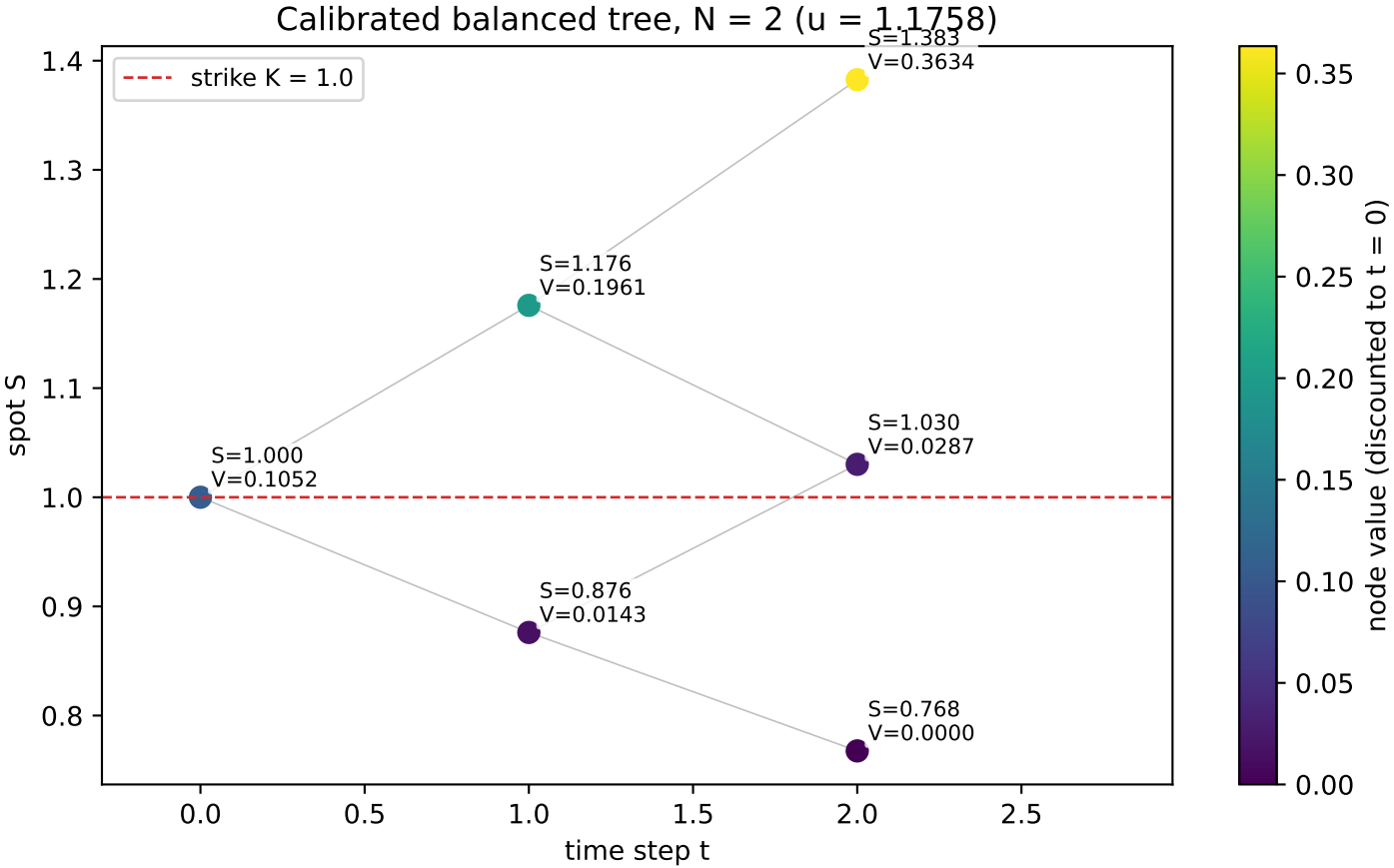
Calibrated balanced tree, N = 2 (u = 1.1758)
strike K = 1.0
S=1.383
V=0.3634
S=1.176
V=0.1961
S=1.030
V=0.0287
S=1.000
V=0.1052
S=0.876
V=0.0143
S=0.768
V=0.0000
spot S
time step t
node value (discounted to t = 0)
1.4
1.3
1.2
1.1
1.0
0.9
0.8
0.0
0.5
1.0
1.5
2.0
2.5
0.35
0.30
0.25
0.20
0.15
0.10
0.05
0.00